

# Healthcare Phoenix Autocallable

Instructor review pack — narrative and exhibits A–E

20 August 2026 · Work in progress · Alexandre Landi

**Instructor review edition.** This watermarked pack is for adoption review and pilot planning. It is **not** the final student handout: assignment prompts and model answers will live in a separate teaching note; the student case will not include this page.

## Synopsis

Take-home decision case: a junior structurer at Banque Meridian must recommend whether to **launch**, **revise**, or **reject** a five-year healthcare **Phoenix** autocallable for EU retail, fixed at the **27 November 2026** market snapshot. Proposed terms (6% conditional coupon, 60% barrier, 100% issue) are expected to fall short of the desk's 1.5% gross margin once priced by Monte Carlo. Students reconcile fair value, PRIIPs KID language, distributor pressure, and MiFID II governance.

## Intended use

|                               |                                                                                              |
|-------------------------------|----------------------------------------------------------------------------------------------|
| <b>Format</b>                 | Take-home assignment · 6–8 h student work                                                    |
| <b>Level</b>                  | MSc Finance / advanced undergrad derivatives course                                          |
| <b>Prerequisites</b>          | GBM and discounting; barrier/path-dependent intuition; Monte Carlo (Excel or Python)         |
| <b>Deliverables (planned)</b> | MC fair value · one revised lever · launch recommendation · short compliance memo            |
| <b>Model answer (draft)</b>   | <b>Revise</b> at proposed terms; $\sigma \approx 17\%$ ; fair value below 100% at 100% issue |

## Learning objectives

1. Decompose a **Phoenix** autocallable into elementary payoffs.
2. Price a path-dependent note by Monte Carlo using locked Exhibit D inputs.
3. Link commercial narrative (Exhibits B1–B2) to product terms and spot mismatches.
4. Interpret PRIIPs KID scenarios (Exhibit C) vs internal fair value.
5. Form a governance judgment: launch, revise, or reject.

## Pack structure

| Section    | Content                                                  |
|------------|----------------------------------------------------------|
| Case §1–2  | Setting · head-of-desk memo and launch ask (28 Nov 2026) |
| Case §3    | Market context · pointer to press exhibits               |
| Case §4    | Product brief · Phoenix mechanics (vs Athena)            |
| Case §5    | Data and constraints · locked vs judgement inputs        |
| Case §6    | The decision · committee presentation (1 Dec 2026)       |
| Case §7    | Governance · press vs KID · suitability                  |
| Exhibit A  | Term sheet                                               |
| Exhibit B1 | FT Adviser excerpt (EN)                                  |

| Section    | Content                            |
|------------|------------------------------------|
| Exhibit B2 | Les Echos Investir excerpt (FR)    |
| Exhibit C  | PRIIPs KID excerpt (draft)         |
| Exhibit D  | Market data · 27 Nov 2026 snapshot |
| Exhibit E  | Competitor scan (Italy)            |

*Still to build for classroom release: full teaching note (assignment prompts + model answers) and a student-facing PDF without this instructor page. Reference MC pricer: `phoenix_mc_pricer.py` in the repo root.*

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**Teaching case.** Banque Meridian, its personnel, and the proposed note terms are fictional. The product type and market setting are drawn from standard EU retail structured-product practice.

## 1. Setting

You are a **junior structurer** on the Retail Structured Products desk at **Banque Meridian**, a pan-European bank with a growing franchise in thematic notes for advised retail and private-banking clients. You joined the desk two years ago after a quantitative finance master's degree and a six-month rotation on the rates exotics floor. Until now you have supported senior colleagues on autocallables and reverse convertibles — building payoff grids, checking KID numbers, and sitting in on distributor calls — but you have never **owned** a retail launch from term-sheet draft through pricing-committee sign-off. That changes today.

The desk sits in **Paris**, a short walk from the wealth-management floors that feed French and cross-border distribution. Final **pricing committee** approval for retail issuance, however, is convened in **Luxembourg**, where the bank's structured-products platform books most EU retail notes. On issue days you work with both locations remotely until the committee meets: Paris for distributor dialogue, Luxembourg for governance and sign-off.

Banque Meridian distributes through branch networks and external platforms in **France, Italy, and Luxembourg**. Retail structured products remain a meaningful fee pool for the bank, but the regulatory environment has tightened. **MiFID II** product-governance rules require a documented target market, and every retail note must ship with a **PRIIPs Key Information Document (KID)** whose prescribed scenarios can read very differently from the headline coupon on a term sheet. Compliance sits one floor above you; they are helpful, but they will not sign a KID that your fair-value work cannot support.

### The desk and the pipeline

Your team of eight structurers covers equity-linked and credit-linked retail notes, typically **Phoenix** and **Athena** autocallables and soft-barrier income products on single indices or thematic baskets. Distributors want **simple stories**: a sector recovery, a familiar index, a conditional coupon that sounds generous next to deposit rates. They want **fast** turnaround when a theme is in the press. The head of Structured Products (Retail) sets a **minimum gross structuring margin** of **1.5%** of nominal on new issues — enough to cover distribution rebates, hedging slippage, and the occasional gap between internal model and street quote. Issues are almost always quoted to clients at **100%** of the €1,000 minimum denomination; economics live in the spread between fair value and that issue price.

Since late summer, **healthcare** has moved to the front of the thematic pipeline. Two August articles — an English-language adviser piece and a French retail-investor study — argued that pharmaceutical and healthcare equities had lagged fundamentals and were beginning to re-rate (see Exhibits B1 and B2). French private bankers forwarded the Les Echos excerpt to your desk within days. Italian distributors were less focused on French press coverage and more anxious about **competition**: rival banks were already marketing healthcare-linked certificates into their networks. Your head of desk treated the theme as a year-end priority — a product that could close before calendars shut and keep Meridian visible with key distributors.

### Your role today

Over the past week you have assembled the working pack for a five-year **healthcare Phoenix** on the **Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5%** index: proposed terms (Exhibit A), market data as of the **27 November** trade date (Exhibit D), draft KID excerpts, and a competitor scan still being finalised (Exhibit E). The trade was fixed on Wednesday; issue and settlement are **today**, 1 December 2026. The Luxembourg pricing committee meets at 10:00.

You are expected to confirm that the proposed **6%** conditional coupon and **60%** barrier structure can be issued at **100%** with at least the desk's **1.5%** margin — or to explain why the terms must change before Banque Meridian

commits its balance sheet and reputation to the distributors waiting in Paris and Milan. The formal request arrived on **Friday 28 November**, the evening after initial fixing.

## 2. The ask

On Friday evening, your head of desk sent the email below and attached an internal launch memo. You spent the weekend finalising fair-value work and chasing the competitor scan. The email is reproduced as received; the memo follows.

**From:** Marie-Cécile Fontaine, Head of Structured Products (Retail)  
**To:** Retail Structuring — Junior Desk  
**Date:** Friday, 28 November 2026, 18:42  
**Subject:** RE: Healthcare Phoenix — **need pricing pack for Monday committee**

Team,

Initial fixing went through at 2318.47 on the iSTOXX healthcare decrement index — Dana posted the market-data pack. Good.

**France:** Réseau Patrimoine (our main private-banking feed) wants a healthcare income note **before year-end**. They are still forwarding the Les Echos piece from August and asking for a 6%-style coupon story for advised clients. We promised a draft term sheet this week.

**Italy:** Banca Lombarda's structured-products desk is less interested in the sector pitch and more interested in **why Intesa already has something out**. I need the **competitor one-pager** on my desk Monday AM — even a single slide. If we cannot match or beat the headline, they will route flow elsewhere in Q1.

Attached is the launch memo for the Luxembourg pricing committee on **Monday 1 December, 10:00**. You own the pack — this is your first full retail sign-off, so I will review your numbers Sunday night, but **you** present fair value and the launch recommendation.

Target remains **100% issue** and  $\geq 1.5\%$  gross margin. If you cannot get there, come with revised terms — do not ask the committee to approve a loss leader.

— MCF

### Internal launch memo

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|                   |                                                      |
|-------------------|------------------------------------------------------|
| <b>Reference</b>  | BM-SP/2026/HC-PHX-047                                |
| <b>Date</b>       | 28 November 2026                                     |
| <b>Issue date</b> | 1 December 2026 (trade fixed 27 November 2026)       |
| <b>Owner</b>      | Junior structurer, Retail SP desk (Paris)            |
| <b>Committee</b>  | Luxembourg pricing committee — 1 Dec 2026, 10:00 CET |

## Background

Banque Meridian has marketed thematic equity-linked notes to retail and private-banking networks in France, Italy, and Luxembourg throughout 2026. Healthcare equities recovered materially in the second half of the year following policy clarity in the US and renewed M&A activity in European pharmaceuticals. Press coverage in August — the **FT Adviser** recovery piece and the **Les Echos Investir** sector study, bundled as the desk's press dossier — revived distributor demand for a **healthcare income** product linked to a recognised EU index.

French distributors require a printable product profile before their December client events. Italian distributors have indicated that a competitor certificate on the same broad index family is already in their pipeline (the competitor scan is still in draft).

## Proposed transaction

|                        |                                                                                   |
|------------------------|-----------------------------------------------------------------------------------|
| <b>Product</b>         | Healthcare Phoenix Autocallable Notes due 1 December 2031                         |
| <b>Underlying</b>      | Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% (EUR)                     |
| <b>Structure</b>       | 6% p.a. conditional coupon · 60% coupon/capital barrier · annual autocall at 100% |
| <b>Issue price</b>     | 100% of €1,000 denomination                                                       |
| <b>Target notional</b> | EUR 50 million                                                                    |
| <b>Distribution</b>    | France (lead), Italy, Luxembourg                                                  |
| <b>Terms</b>           | Attached summary term sheet — HC-PHX-047-TS                                       |

Issuer: **European Investment Bank SA** (Luxembourg) — existing programme issuer for Meridian retail notes. KID draft attached (pending your fair-value run).

## Commercial objectives

1. Secure **Réseau Patrimoine** pipeline for Q4 and early Q1 thematic slots.
2. Retain **Banca Lombarda** as a healthcare flow partner against Intesa-led competition.
3. Maintain Meridian's visible presence in EU retail structured products before the holiday slowdown.

Sales has pre-marketed a “**6% healthcare income**” headline to both networks. Any revision must be explainable to advisers without undermining credibility.

## Pricing and governance requirements

The pricing committee will not approve issuance unless the desk confirms:

1. Monte Carlo (or equivalent) **fair value** at the **27 November market snapshot** (attached market-data pack), with documented volatility assumptions.
2. **Gross structuring margin**  $\geq 1.5\%$  of nominal at the proposed **100%** issue price, **or** a revised term sheet that meets the margin floor.
3. Consistency between internal fair value, proposed marketing language, and the **PRIIPs KID moderate scenario**.
4. Target-market and suitability assessment under MiFID II product-governance rules.

If proposed terms are uneconomic, the owner must present **revised** coupon, barrier, autocall, or issue-price parameters and a clear **launch / revise / reject** recommendation.

## Materials for committee

| <b>Document</b>  | <b>Description</b>                               | <b>Status</b>           |
|------------------|--------------------------------------------------|-------------------------|
| Term sheet       | Healthcare Phoenix — final terms (HC-PHX-047-TS) | Final draft             |
| Press dossier    | FT Adviser + Les Echos excerpts (August)         | Final                   |
| KID draft        | PRIIPs key information document                  | Draft — pending your FV |
| Market-data pack | Index level, curve, vol inputs — 27 Nov fixing   | Final                   |
| Competitor scan  | Intesa / Italian market comparison               | Due Monday AM           |
| Pricing workbook | Monte Carlo fair value and sensitivities         | Owner to complete       |

## Sign-off requested

| Role                      | Name                   | Action                             |
|---------------------------|------------------------|------------------------------------|
| Head of SP (Retail)       | M.-C. Fontaine         | Review Sunday PM                   |
| Junior structurer (owner) | You                    | Present FV + recommendation, 1 Dec |
| Compliance                | PRIIPs / target market | KID sign-off if launch             |
| Pricing committee         | Luxembourg             | Approve / reject / revise terms    |

*End of memo. The documents listed above are reproduced in this case as Exhibits A–E. Market context and product mechanics follow in Sections 3–4.*

## 3. Market context

The healthcare theme entering your committee pack is not a blank-sheet trade idea. It is already circulating in distributor conversations, shaped by two August 2026 press articles that advisers now treat as shorthand for the sector story (Exhibits B1 and B2). Both pieces argue that healthcare valuations had become disconnected from fundamentals, then began to recover as political pressure eased and acquisition activity resumed.

For your French network, the messaging is mostly valuation-driven: healthcare had lagged, discounts widened, and a mean-reversion narrative became sellable again once policy risk looked less acute. The **FT Adviser** article highlights that framing directly:

“Pharmaceuticals trade at one of the largest discounts to the broader market on record ... a mean-reverting thing. These discounts don’t last forever.”

The French-facing conversation is reinforced by **Les Echos Investir**, which links improved visibility to renewed M&A by large pharmaceutical groups:

“Après ce regain de visibilité, les big pharmas se sont senties beaucoup plus à l’aise pour délier leur bourse ... On a assisté à un retour en force des fusions-acquisitions.”

For Italian distributors, the trigger is different: competitor activity and headline economics on comparable certificates, not French media coverage itself.

Internally, the desk reads both articles as **commercial support** rather than valuation evidence for the note itself. They can justify why clients are willing to discuss healthcare exposure at year-end, but they do not determine whether the proposed Phoenix terms are economically sound at 100% issue with a 1.5% margin target.

This distinction matters for the committee: the same press narrative that strengthens the sales pitch can coexist with a product configuration that is too expensive for the issuer once market data, barriers, and coupon mechanics are priced consistently.

*Exhibits B1 and B2 are included as abridged source extracts. Product mechanics and market inputs follow in Section 4 and Exhibit D.*

## 4. Product brief

The proposed instrument is a five-year **Phoenix autocallable** on the Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% index (EUR). In client language, it offers conditional quarterly income with potential early redemption if the index is at or above its initial level on annual autocall dates. In desk language, it is a path-dependent structure whose economics are driven by three linked features: the quarterly coupon condition, annual autocall condition, and soft capital barrier at maturity.

Desk terminology distinguishes **Phoenix** from classic **Athena**: a Phoenix has **separate** coupon and autocall barriers, and pays a conditional coupon whenever the coupon condition is met — even if the note is not autocalled. A classic **Athena** aligns those barriers; coupons are typically accumulated and paid together with

redemption when the autocall trigger fires. This transaction is a Phoenix (60% coupon barrier, 100% autocall barrier, non-memory coupons). Retail marketing may still use **Athena** on similar notes; the term sheet in Exhibit A follows desk naming.

For this transaction, headline terms are:

- issue at 100% of €1,000 denomination;
- 1.50% quarterly coupon (6.00% p.a.) if index  $\geq$  60% of initial level on each coupon date;
- annual autocall if index  $\geq$  100% of initial level (2027 to 2030 dates);
- at final valuation (1 Dec 2031), return 100% if index  $\geq$  60%; otherwise redeem pro rata to final index performance.

Full legal wording and date schedule are in **Exhibit A**.

## How the payoff works

The table below is the desk's simplified decision map for committee discussion (not legal terms). It focuses on **what decision is taken at each observation date**.

| Date type                           | Condition on index           | Cash-flow consequence                                 |
|-------------------------------------|------------------------------|-------------------------------------------------------|
| Quarterly coupon date               | Index $\geq$ 60% of initial  | Pay 1.50% coupon for that quarter                     |
| Quarterly coupon date               | Index < 60% of initial       | No coupon (non-memory; not recovered later)           |
| Annual autocall date                | Index $\geq$ 100% of initial | Redeem at 100% + coupon due; note terminates          |
| Annual autocall date                | Index < 100% of initial      | No autocall; continue to next observation date        |
| Final valuation (if not autocalled) | Index $\geq$ 60% of initial  | Redeem 100% (+ final coupon if coupon condition met)  |
| Final valuation (if not autocalled) | Index < 60% of initial       | Redeem $100\% \times (\text{Final} / \text{Initial})$ |

## Why this structure is commercially attractive

For distributors, the package is easy to present: a thematic healthcare story, a visible coupon number, and partial downside protection versus direct equity exposure. It also matches a familiar retail template in France and Italy where annual autocall mechanics are well understood by adviser networks.

For the issuer, attractiveness depends on **priceability**, not marketing language alone. The same terms that improve client appeal (high coupon, low coupon barrier) can compress margin when priced against the 27 November market snapshot. That tension is the center of your committee decision.

## Risks and suitability points flagged before committee

- **Complexity risk:** multiple observation dates and conditional cash flows can be misunderstood by end clients.
- **Barrier risk:** below 60% at final valuation, capital loss is linear with index decline.
- **Autocall / reinvestment risk:** early redemption occurs in stronger markets, forcing clients to reinvest when comparable yields may be lower.
- **Issuer credit risk:** notes are unsecured obligations of the issuer.
- **Scenario communication risk:** PRIIPs moderate scenario may not align with the sales headline unless assumptions are explained clearly.

*A full payoff diagram is intentionally not provided here. Students are expected to construct a payoff tree or chart from Exhibit A as part of the assignment; an optional instructor diagram can be added later as Exhibit F.*

## 5. Data and constraints

You arrive at committee with a deliberately **mixed** pack: some inputs are frozen, others remain judgement calls. The desk rule is that pricing must be reproducible from the documents on the table — not from live market feeds or post-fixing index prints.

### Locked inputs

The following are fixed for this decision:

| Item                        | Source / value                                                          |
|-----------------------------|-------------------------------------------------------------------------|
| Trade date / initial fixing | 27 November 2026 · $S_0 = 2,318.47$ — Exhibit D                         |
| Issue date                  | 1 December 2026 (today)                                                 |
| Proposed structure          | 6% p.a. conditional · 60% barrier · annual autocall at 100% — Exhibit A |
| Issue price                 | 100% of €1,000 denomination                                             |
| EUR discount curve          | Observation-date OIS discount factors — Exhibit D                       |
| Index decrement             | 5% p.a. continuous ( $q$ ); already embedded in published index level   |
| Margin floor                | 1.5% gross structuring margin to bank                                   |

Repricing on “today’s” spot or swap levels is out of scope. The committee is judging whether **these** terms are economic at **this** snapshot.

### Judgement calls (documented)

Two areas require explicit assumptions in your presentation:

1. **Volatility.** No listed options exist on the decrement index. Exhibit D gives a desk working range of **16–18%** flat Black vol and sector context; you must choose one level, justify it, and show sensitivity (at minimum  $\pm 2$  vol points).
2. **Discounting convention.** Base case is OIS discounting from Exhibit D. A funding overlay (+25 bp vs OIS) is sometimes applied to unsecured note cash-flows; the committee will ask whether you used it and why.

Everything else needed for a first-pass Monte Carlo fair value should flow from Exhibits A and D alone.

### Regulatory and commercial constraints

Beyond fair value, approval depends on consistency across three lenses:

1. **Internal economics** — fair value at 100% issue and gross margin vs the 1.5% floor.
2. **PRIIPs KID** — prescribed moderate / unfavourable / favourable scenarios and risk indicator must not contradict defensible marketing (Exhibit C, draft).
3. **MiFID II target market** — product governance: advised retail, buy-and-hold compatible horizon, clients who can bear barrier and issuer risk (Exhibit A, target-market summary).

Sales has already circulated a “**6% healthcare income**” headline. Compliance will not object to thematic language if the KID and internal model support it; they **will** object if the moderate scenario implies a return profile that advisers cannot square with the pitch.

### Materials still in flux

Not every attachment is final as you walk into the room:

| Document                     | Role                                      | Status      |
|------------------------------|-------------------------------------------|-------------|
| Term sheet (Exhibit A)       | Legal mechanics and schedule              | Final draft |
| Market-data pack (Exhibit D) | Spot, curve, vol context, observation DFs | Final       |



| Document                    | Role                                                | Status                      |
|-----------------------------|-----------------------------------------------------|-----------------------------|
| KID excerpt (Exhibit C)     | Retail scenario disclosure                          | Draft — tied to your FV run |
| Competitor scan (Exhibit E) | Italian headline comparison vs Intesa-style product | Finalising this morning     |
| Press dossier (B1–B2)       | Commercial narrative only                           | Final                       |

The competitor scan matters for **distribution** (can Meridian match Italian headline economics?) but does not replace your own fair-value work. The KID draft cannot be signed until your volatility choice and fair value are on record.

## What the committee expects from you

In practical terms, you must be ready to answer four questions without opening a live pricing terminal:

1. What is fair value of the proposed terms at 100% issue, and what gross margin does that imply?
2. If margin is below 1.5%, what **one** revised lever (coupon, barrier, autocall trigger, or issue price) restores it?
3. Does the PRIIPs moderate scenario support or undermine the sales story?
4. Launch, revise, or reject — and can you defend that to French and Italian distributors?

## 6. The decision

At 09:52, your video tile appears in the Luxembourg pricing committee queue. Your head of desk joins from Paris. Compliance has dialed in with the latest KID draft open. Sales is not in the room but is waiting for a go/no-go message before calling the French and Italian distribution teams.

You have ten minutes to present:

1. your fair value range under documented assumptions,
2. gross margin at 100% issue under the proposed 6% / 60% structure,
3. one revised parameter set if the 1.5% floor is not met,
4. a launch recommendation that is coherent with KID language and target-market constraints.

The chair reminds the room that this is not a marketing debate. If economics fail at the locked market snapshot, terms must be revised before any launch message is sent. If terms are revised, sales needs wording that can be explained quickly to advisers who were already teased with a “6% healthcare income” headline.

## Committee pressure points

The discussion quickly narrows to four pressure points:

- **Economics:** whether the proposed package can clear the 1.5% margin floor at 100% issue.
- **Commercial credibility:** how far terms can move before French and Italian distributors perceive a bait-and-switch.
- **KID coherence:** whether moderate-scenario disclosures remain defensible under the chosen volatility and discounting assumptions.
- **Execution timing:** whether there is enough time to revise terms and still hit year-end distribution windows.

No one questions the healthcare story itself. The disagreement is about whether the story supports this **specific** package at this **specific** price.

## Your recommendation

You are asked to close with a single recommendation for immediate action:

|                 |                                                                                |
|-----------------|--------------------------------------------------------------------------------|
| <b>Option A</b> | Launch proposed terms unchanged (6% coupon, 60% barrier, 100% issue)           |
| <b>Option B</b> | Revise terms before launch (adjust one lever and re-clear margin / KID checks) |
| <b>Option C</b> | Reject this launch window and re-open later with a redesigned structure        |

You are expected to justify the option in one page, including:

- key pricing assumptions and sensitivity anchors,
- economics versus the 1.5% floor,
- expected distributor reaction in France and Italy,
- principal conduct and suitability risks if launched unchanged.

Your recommendation will determine whether Meridian sends a launch confirmation before noon or reopens structuring with revised terms.

*Section 7 outlines the governance tensions that sit alongside the pricing decision.*

## 7. Governance and open tensions

Even with a defensible fair-value range, this launch sits at the intersection of three regimes that do not always speak the same language: **desk economics**, **retail disclosure**, and **distributor sales practice**.

### Press narrative versus PRIIPs scenarios

The August press dossier supports a constructive healthcare story — recovery, re-rating, M&A visibility. It is useful for opening adviser conversations. It is **not** a substitute for product-level risk disclosure. PRIIPs requires prescribed performance scenarios over defined horizons; the moderate scenario in particular can understate headline coupon language if clients focus on the 6% annual equivalent rather than conditionality, barriers, and early autocall mechanics. Compliance's concern is not whether healthcare is a good sector, but whether advisers can explain what the **note** does when the index path is unfavourable.

### Target market and suitability

Exhibit A describes a target market of advised retail and private-banking clients with a buy-and-hold compatible horizon and tolerance for barrier and issuer risk. That profile is broad. Product governance asks whether the **same** structure should be sold to a French private-banking client attracted by the Les Echos recovery narrative and an Italian retail client comparing headline coupons against a competitor certificate — when the economic terms may need revision to meet internal margin standards. Suitability is not only “can the client bear loss?” but “is this the right product at this price for this client channel?”

### Sales language under scrutiny

Several phrases already circulating in distributor channels would draw scrutiny if the note launched unchanged at uneconomic terms:

- “**6% healthcare income**” — obscures that coupons are conditional and non-memory.
- “**Protected down to 40%**” — common shorthand for a 60% barrier; easy to misread as capital guarantee above the barrier on every date, not only at final valuation.
- “**Healthcare recovery play**” — conflates sector equity exposure with structured-note payoff mechanics and issuer credit.

The desk does not need to draft marketing copy in the committee room, but it cannot ignore what sales is likely to say once a launch confirmation goes out.

### Competitor pressure versus issuer discipline

Italian distributors will compare Meridian's headline to Intesa-style alternatives (Exhibit E). French distributors care more about thematic fit and adviser materials. Neither comparison relieves the structurer of the 1.5% margin floor. A product launched to “match the street” at sub-economic terms shifts loss to the issuer and creates conduct risk if the KID moderate scenario contradicts the pitch. The governance question is where to draw the line between commercial flexibility and product discipline.

**Where the case ends**

You leave the committee with a single actionable outcome: confirm launch on revised terms, delay and redesign, or reject. The exhibits that follow provide the term sheet, press context, KID excerpt, market inputs, and competitor scan needed to support that judgement.

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Exhibits

Term sheet · press · KID · market data · competitor scan

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## Exhibit A — Final Terms (Summary)

Healthcare Phoenix Autocallable Notes due 1 December 2031

### Exhibit A

**Case fiction.** European Investment Bank SA, ISIN, and terms are invented for this case study. Structure calibrated to standard EU retail **Phoenix** autocallables (cf. industry term sheets). Retail distributors sometimes label similar notes **Athena**; desk terminology reserves **Athena** for structures where coupon and autocall share a single barrier.

### Cover information

|                                     |                                                                     |
|-------------------------------------|---------------------------------------------------------------------|
| <b>Product name</b>                 | Healthcare Phoenix Autocallable Notes due 1 December 2031           |
| <b>ISIN</b>                         | XS2EIB0HC2026                                                       |
| <b>Common code</b>                  | EIBHC2031                                                           |
| <b>Issuer</b>                       | European Investment Bank SA (Luxembourg)                            |
| <b>Guarantor</b>                    | European Investment Bank SA — unsecured, unsubordinated obligations |
| <b>Currency</b>                     | EUR                                                                 |
| <b>Specified denomination</b>       | EUR 1,000 per Note                                                  |
| <b>Aggregate nominal amount</b>     | EUR 50,000,000                                                      |
| <b>Issue price</b>                  | 100.00% of Specified Denomination                                   |
| <b>Issue date / Settlement date</b> | 1 December 2026                                                     |
| <b>Maturity date</b>                | 1 December 2031 (unless previously redeemed)                        |
| <b>Distribution</b>                 | France, Italy, Luxembourg — retail and private-banking networks     |
| <b>Form</b>                         | Registered notes · cleared through Euroclear / Clearstream          |

### Summary for investors

These Notes provide **conditional quarterly income** linked to the performance of the **Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% Index** (EUR, price return). If the Index closes at or above **60%** of its Initial Level on a Coupon Observation Date, Noteholders receive a **1.50%** quarterly coupon (**6.00% per annum** equivalent).

On each **Autocall Observation Date**, if the Index closes at or above **100%** of the Initial Level, the Notes are **automatically redeemed early** at **100%** of the Specified Denomination, together with the coupon payable on that date (if any).

If the Notes are not autocalled, at the Maturity Date:

- if the Index is at or above **60%** of the Initial Level → **100%** redemption;
- otherwise → redemption at **Notional × (Final Level ÷ Initial Level)** (full downside participation below the barrier).

Coupons are **not memory-linked**: a missed coupon is not paid later.

### Underlying

|                        |                                                                              |
|------------------------|------------------------------------------------------------------------------|
| <b>Reference Index</b> | Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% (EUR — Price Return) |
|------------------------|------------------------------------------------------------------------------|

|                                         |                                                          |
|-----------------------------------------|----------------------------------------------------------|
| <b>Bloomberg / Reuters</b>              | EIIXHC5E / .EIIXHC5E                                     |
| <b>Index sponsor</b>                    | STOXX Ltd.                                               |
| <b>Initial Fixing Date</b>              | 27 November 2026 (Trade Date)                            |
| <b>Initial Level (<math>S_0</math>)</b> | EUR 2318.47 (Index closing level on Initial Fixing Date) |
| <b>Coupon Barrier</b>                   | $60.00\% \times S_0 = \text{EUR } 1391.08$               |
| <b>Autocall Barrier</b>                 | $100.00\% \times S_0 = \text{EUR } 2318.47$              |
| <b>Final Valuation Date</b>             | 1 December 2031                                          |
| <b>Calculation Agent</b>                | European Investment Bank SA                              |

The Index reflects a tilted, decrement-adjusted segment of Euro STOXX healthcare-related constituents. The Issuer does not hold the Index components. Returns on the Notes depend on the Index level on observation dates only (not on dividends separately distributed by index constituents beyond the Index design).

### Key dates

|                                    |                  |
|------------------------------------|------------------|
| <b>Trade Date / Initial Fixing</b> | 27 November 2026 |
| <b>Issue Date</b>                  | 1 December 2026  |
| <b>First Coupon Observation</b>    | 1 March 2027     |
| <b>First Autocall Observation</b>  | 1 December 2027  |
| <b>Scheduled Maturity</b>          | 1 December 2031  |

**Day-count:** ACT/360 for coupon accrual display purposes; coupons paid as flat percentages of denomination.

**Business days:** If an Observation Date is not a Index Calculation Day, the immediately following Index Calculation Day applies (**Modified Following**). Coupon and redemption payments settle **T + 3** Business Days after the relevant Observation Date.

### Conditional coupons

Unless previously redeemed, on each **Coupon Observation Date** the Issuer shall pay, in respect of each Note:

$$\text{Coupon Amount} = 1.50\% \times \text{Specified Denomination}$$

if and only if:

$$\text{Index Level} \geq \text{Coupon Barrier}$$

Otherwise the Coupon Amount for that date is **zero**. **No memory feature** applies — unpaid coupons are not deferred or accumulated.

**Annual equivalent coupon (if all four quarterly conditions met):** 6.00% p.a.

### Autocall (early redemption)

On each **Autocall Observation Date** listed in Section 8, if:

$$\text{Index Level} \geq \text{Autocall Barrier}$$

then the Notes shall be **automatically called** in whole (not in part) and the Issuer shall redeem each Note at:

$$\text{Early Redemption Amount} = \text{Specified Denomination} + \text{Coupon Amount due on that Autocall Observation Date}$$

Following autocall, no further amounts are payable and the Notes are cancelled.

## Redemption at maturity

If not previously redeemed, each Note shall be redeemed on the Maturity Date at an amount determined by the Calculation Agent as follows:

| Scenario                                                  | Final Redemption Amount per Note                                                             |
|-----------------------------------------------------------|----------------------------------------------------------------------------------------------|
| Index Level $\geq$ Coupon Barrier on Final Valuation Date | Pay any <b>Coupon Amount</b> due on the Final Valuation Date (1.50% if condition met), plus: |
| Index Level $\geq 60\% \times S_0$ at Final Valuation     | 100.00% of Specified Denomination + final coupon (if any)                                    |
| Index Level $< 60\% \times S_0$ at Final Valuation        | Specified Denomination $\times \frac{\text{Index Level}}{S_0}$                               |

**Example (Final Valuation):** if  $S_0 = 2318.47$  EUR and the Index closes at 1391.08 (60.00% of Initial Level), redemption is **EUR 1,000**. If the Index closes at 1159.23 (50.00% of Initial Level), redemption is **EUR 500** per Note (before any final coupon).

## Issue price and expenses

Notes are issued at **100.00%** of Specified Denomination. The Issuer's internal pricing target assumes a minimum **gross structuring margin** of **1.50%** of nominal to cover distribution and hedging costs. No separate management fee is deducted from Noteholders after issuance.

## Observation schedule

| Observation Date  | Coupon? | Autocall? | Barrier(s)                                               |
|-------------------|---------|-----------|----------------------------------------------------------|
| 1 Mar 2027        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Jun 2027        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Sep 2027        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Dec 2027        | Yes     | Yes       | Coupon $\geq 60\%$ · Autocall $\geq 100\%$ Initial Level |
| 1 Mar 2028        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Jun 2028        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Sep 2028        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Dec 2028        | Yes     | Yes       | Coupon $\geq 60\%$ · Autocall $\geq 100\%$ Initial Level |
| 1 Mar 2029        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Jun 2029        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Sep 2029        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Dec 2029        | Yes     | Yes       | Coupon $\geq 60\%$ · Autocall $\geq 100\%$ Initial Level |
| 1 Mar 2030        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Jun 2030        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Sep 2030        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Dec 2030        | Yes     | Yes       | Coupon $\geq 60\%$ · Autocall $\geq 100\%$ Initial Level |
| 1 Mar 2031        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Jun 2031        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| 1 Sep 2031        | Yes     | —         | Coupon $\geq 60\%$ Initial Level                         |
| <b>1 Dec 2031</b> | Yes     | —         | <b>Final valuation</b> · Maturity                        |

Table 1: Full observation schedule (20 coupon dates; 4 autocall dates; 1 final valuation).

## Target market (MiFID II / PRIIPs summary)

|                                   |                                                                                                |
|-----------------------------------|------------------------------------------------------------------------------------------------|
| <b>Investor type</b>              | Retail and advised private-banking clients                                                     |
| <b>Investment horizon</b>         | Buy-and-hold compatible with 5-year term; early exit via autocall or illiquid secondary market |
| <b>Knowledge &amp; experience</b> | Basic understanding of equity indices and barrier products required                            |
| <b>Loss-bearing capacity</b>      | Must tolerate loss of capital below 60% Index barrier and issuer credit risk                   |
| <b>Distribution channels</b>      | France, Italy, Luxembourg — bank branches and private bankers                                  |
| <b>KID</b>                        | See Exhibit C — document to be provided to investors prior to subscription                     |

## Principal risk factors (abridged)

- **Issuer credit risk** — Notes are unsecured obligations of European Investment Bank SA. Holders bear full issuer default risk.
- **Market risk** — Below the 60% barrier at maturity, capital is reduced in proportion to the Index fall.
- **Autocall risk** — Early redemption may reinvestment proceeds in lower-yielding environments.
- **Liquidity risk** — No assured secondary market; bid/offer spreads may be wide.
- **Gap / discontinuity risk** — Index moves between observation dates are not observed for barriers.
- **Complexity** — Payoff depends on multiple dates and barriers; PRIIPs scenarios may differ from internal fair value.

Market data for pricing: Exhibit D (Initial Fixing 27 November 2026).



## Exhibit B1 — Press Excerpt (English)

Healthcare shows strong signs of recovery · FT Adviser · 11 August 2026

### Exhibit B1

*Abridged excerpt for this case study — not a full reproduction of the source article.*

**Full article:** McDermott, D., “Healthcare shows strong signs of recovery,” *FT Adviser*, 11 August 2026.

<https://www.ftadviser.com/content/b5340a65-ad65-466e-b4bb-f8d30f76bc5a>

### Context

After several years of underperformance, global healthcare equities began a **significant turnaround** in mid-2026. Advisers and fund managers report growing client interest in sector exposure, driven by improved fundamentals and easing policy uncertainty.

### Key points

#### Recovery after a long slump

Healthcare had lagged despite supportive long-term trends (demographics, innovation, AI). In recent months, investors have “finally adjusted their view” and the sector has staged a turnaround.

#### Policy overhang has eased

Earlier concerns included US **most-favoured-nation drug pricing**, pharmaceutical tariffs, and administrative disruption in US health agencies. By end-2025, major pharmaceutical companies had reached **pricing agreements** with the US administration and institutional normality had largely returned.

#### Valuations vs fundamentals

- **Gareth Powell** (Polar Capital Global Healthcare Trust): valuations have been “*disconnected from strong fundamentals*.”
- **Siddharth Jain** (GQG Partners): pharmaceuticals trade at *one of the largest discounts to the broader market on record* — “a mean-reverting thing. These discounts don’t last forever.”

#### Structural growth drivers

- Ageing populations → higher healthcare demand
- Innovation: immunotherapy, targeted therapies, improved cancer survival
- **AI adoption** in diagnostics and R&D
- **M&A acceleration** in biotech

#### Fund-manager positioning

Several managers report **increasing healthcare allocations**, including European names (Novartis, AstraZeneca, GSK).

#### Risks acknowledged

Government reimbursement pressure, US market dependency, patent cliffs, tariff and pricing policy risk — largely described as “*well known and understood*” by the market.

#### Author’s closing thesis

“Valuations had moved too far for the healthcare sector, reflecting only its problems and not its potential upside. The revival of the past few months may show that the market is starting to recognise its strengths.”

## Exhibit B2 — Extrait presse (français)

Les Echos Investir · 13 août 2026

### Exhibit B2

Résumé abrégé pour cette étude de cas — ne pas confondre avec l'article intégral.

**Article complet :** « Le secteur pharmaceutique est moins entouré, mais les opérations de fusion-acquisition accélèrent », *Investir* (Les Echos), 13 août 2026.

<https://investir.lesechos.fr/actu-des-valeurs/etudes/le-secteur-pharmaceutique-est-moins-entoure-mais-les-operations-de-fusion-acquisition-accelerent-2247014>

### Contexte

Après plusieurs trimestres de pression réglementaire et de sous-performance boursière, le **secteur pharmaceutique mondial** a amorcé un rebond fin 2025, puis consolidé sa remontée au premier semestre 2026.

### Points clés

#### Le déclencheur : l'accord Trump–Pfizer (1er octobre 2025)

Le rebond sectoriel s'accélère après l'accord entre Donald Trump et Pfizer. Le secteur poursuit sa remontée boursière **jusqu'en février 2026**.

#### La visibilité réglementaire revient

- Les baisses de prix annoncées ne viseront finalement que **Medicaid** (patients les plus démunis).
- Les grands groupes pharmaceutiques s'engagent à **relocaliser la production aux États-Unis**, avec des investissements de **20 à 50 milliards de dollars** chacun.
- Ces concessions ont « **permis de relâcher la pression** » sur les valorisations.

#### Conséquence : accélération des M&A

**Sébastien Malafosse**, gérant actions internationales chez **Edmond de Rothschild AM** :

« Après ce regain de visibilité, les big pharmas se sont senties beaucoup plus à l'aise pour délier leur bourse et se mettre à acheter des cibles, notamment en biotech. On a assisté à un retour en force des fusions-acquisitions. Avec de nombreuses opérations au-dessus de 10 milliards de dollars. »

### Lecture du titre

Le secteur est « **moins entouré** » (moins assombri par l'incertitude politique et tarifaire) tandis que les **opérations de fusion-acquisition accélèrent**.

### Thèse implicite pour les investisseurs

| Driver               | Implication                         |
|----------------------|-------------------------------------|
| Visibilité US        | Fin du surdiscount « politique »    |
| M&A biotech          | Soutien aux valorisations           |
| Big pharma cash-rich | Secteur actif, pipelines à regarnir |

### Risques à considérer

- Dépendance au **marché américain** et aux accords politiques

- M&A ≠ performance de l'indice à court terme
- Biotech ≠ big pharma : un indice sectoriel **diversifié** mais ne capture pas chaque prime de contrôle

20 August 2026 · Work in progress ·  
Alexandre Landi

## Exhibit C – PRIIPs KID (Excerpt)

Draft · ISIN XS2EIB0HC2026

### Exhibit C

**Case fiction.** This is an **abridged, invented** PRIIPs KID excerpt for teaching purposes. Scenario figures are calibrated to the proposed terms in Exhibit A and are **not** tied to the structurer's internal Monte Carlo fair value (Exhibit D). Layout follows common EU retail KID conventions; it is not a regulatory filing.

|                                         |                                                           |
|-----------------------------------------|-----------------------------------------------------------|
| <b>Product</b>                          | Healthcare Phoenix Autocallable Notes due 1 December 2031 |
| <b>Manufacturer / Issuer</b>            | European Investment Bank SA (Luxembourg)                  |
| <b>Producer</b>                         | Banque Meridian – Structured Products (Retail)            |
| <b>ISIN</b>                             | XS2EIB0HC2026                                             |
| <b>Currency</b>                         | EUR                                                       |
| <b>Issue price</b>                      | 100% per Note (€1,000 minimum denomination)               |
| <b>Recommended holding period (RHP)</b> | 5 years (to 1 December 2031, unless autocalled earlier)   |

### Summary risk indicator

5 / 7

Medium-high risk · Lower risk classes exist

Capital is **at risk**. You may lose part or all of your investment if the Index falls below the capital barrier at the final observation date, or if the Issuer defaults. Conditional coupons are **not guaranteed**.

### What is this product?

You invest in a **structured note** linked to the Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% Index. You may receive **quarterly conditional coupons** (up to 6.00% p.a. equivalent) and the Notes may be **redeemed early** if autocall conditions are met. You are exposed to the Index level on observation dates and to **issuer credit risk**.

This KID describes outcomes under PRIIPs **prescribed scenarios**, not the bank's internal pricing model.

### What could you get back?

Illustration for a **€10,000** investment held for the **recommended holding period** (5 years). Figures include the impact of costs shown below. **Past performance and scenarios are not reliable indicators of future results.**

| Scenario     | You could get back | Average return each year |
|--------------|--------------------|--------------------------|
| Stress       | € 7,450            | –5.6% / year             |
| Unfavourable | € 8,650            | –2.9% / year             |
| Moderate     | € 10,720           | +1.4% / year             |
| Favourable   | € 12,650           | +4.8% / year             |

Table 2: Performance scenarios at the 5-year recommended holding period (after costs).

**Stress** and **unfavourable** scenarios reflect weak Index paths where coupons are partly or fully missed and capital is reduced below the 60% barrier at final valuation. The **moderate** scenario assumes a middling Index path with partial coupon receipt and no autocall. The **favourable** scenario assumes several coupons paid and redemption at par (or early autocall with coupons – methodology maps this to the RHP illustration).

If you exit before the recommended holding period, secondary-market prices may be substantially below these illustrations. You may not be able to sell when you want to.

#### One-year holding period (if you exit early)

| Scenario     | After 1 year | Return |
|--------------|--------------|--------|
| Unfavourable | € 9,180      | –8.2%  |
| Moderate     | € 10,120     | +1.2%  |
| Favourable   | € 10,580     | +5.8%  |

Early exit returns are indicative only; bid/offer spreads on retail structured notes are often wide.

#### What are the costs?

| Costs over 5 years              | Amount                               |
|---------------------------------|--------------------------------------|
| Entry costs                     | 0.00% — included in issue price      |
| Exit costs (secondary market)   | Not applicable / unknown if illiquid |
| Ongoing costs                   | 0.00% — no separate management fee   |
| Incidental costs                | 0.00%                                |
| <b>Reduction in Yield (RIY)</b> | <b>1.85% each year</b>               |

RIY aggregates structuring, distribution, and hedging costs embedded in the product economics. It reduces the return you could have received if costs were zero.

The RIY is **not** the same as the bank's internal **gross structuring margin** on issuance, but both reflect issuer economics taken at subscription.

#### Main risks (abridged)

- **Market risk** — Index may fall; below 60% of initial level at final valuation, capital is reduced in proportion to the Index decline.
- **Coupon risk** — Coupons depend on Index level on each quarterly date; missed coupons are not paid later (**no memory**).
- **Autocall risk** — Early redemption may occur in rising markets; reinvestment may be at lower yields.
- **Issuer risk** — If European Investment Bank SA fails, you may receive nothing.
- **Liquidity risk** — No assured secondary market.

#### Desk note (not part of official KID)

Compliance flagged that the **moderate** scenario (+1.4% p.a. at RHP) is difficult to reconcile with distributor copy citing “**6% healthcare income**” unless advisers explain conditionality, barriers, and issuer credit explicitly. This draft is pending sign-off pending the structurer's fair-value run.

*Full terms: Exhibit A. Market inputs for internal pricing; Exhibit D.*

## Exhibit D — Market Data Snapshot

Trade date / initial fixing · 27 November 2026

### Exhibit D

**Case fiction.** Spot, curve, and discount factors below are **locked** for the assignment (27 November 2026 snapshot). Volatility is a **desk range** — students choose and justify a flat  $\sigma$  within it. Terms in Exhibit A are the **proposed** issue; fair value at 100% is expected to fall short of the 1.5% margin target.

### Base-case inputs

|                                               |                                                                                           |
|-----------------------------------------------|-------------------------------------------------------------------------------------------|
| <b>Initial Level <math>S_0</math></b>         | EUR 2318.47 (closing level, 27 November 2026) — <b>locked</b>                             |
| <b>Coupon / capital barrier</b>               | $60\% \times S_0 = \text{EUR } 1391.08$ — <b>proposed</b> (Exhibit A)                     |
| <b>Autocall barrier</b>                       | $100\% \times S_0 = \text{EUR } 2318.47$ — <b>proposed</b> (Exhibit A)                    |
| <b>Implied volatility <math>\sigma</math></b> | <b>Student choice:</b> flat <b>16.00–18.00%</b> (Black / GBM); justify from context below |
| <b>Dividend / decrement <math>q</math></b>    | 5.00% p.a. continuous — <b>locked</b> ; do <b>not</b> add a further dividend yield        |
| <b>Discounting</b>                            | EUR OIS zeros in the observation-date table — <b>locked</b>                               |
| <b>Funding (optional)</b>                     | +25 bp to OIS zero — extra credit only; DF funded column                                  |
| <b>Process</b>                                | GBM under the risk-neutral measure; 50,000 paths                                          |

Risk-neutral SDE for the **published decrement index**:

$$dS_t = (r_t - q)S_t dt + \sigma S_t dW_t^Q, \quad q = 5\%, \quad \sigma \in [16\%, 18\%].$$

Discount expected payoffs with the OIS discount factors below.

### Underlying identifiers

|                                   |                                                         |
|-----------------------------------|---------------------------------------------------------|
| <b>Index</b>                      | EURO iSTOXX 50 Future Healthcare Tilted NR Decrement 5% |
| <b>STOXX symbol / Bloomberg</b>   | ISX5HCTD / ISX5HCTD Index                               |
| <b>ISIN</b>                       | CH1123123734                                            |
| <b>Currency / type</b>            | EUR · Price return (decrement already applied)          |
| <b>Index sponsor</b>              | STOXX Ltd.                                              |
| <b>Desk Bloomberg (Exhibit A)</b> | EIIXHC5E / .EIIXHC5E                                    |

The Index replicates the **net-return** parent with a **constant 5% performance deduction** accruing daily. That drag is already in the published level  $S_t$ . Modelling  $q = 5\%$  and simulating  $S$  is the correct treatment; modelling  $q = 0$  would omit the decrement and overstate fair value.

### Spot and context

|                                          |                                                                                         |
|------------------------------------------|-----------------------------------------------------------------------------------------|
| <b>Trade-date close <math>S_0</math></b> | 2,318.47                                                                                |
| <b>Calibration reference</b>             | Published index $\approx 2,341$ in mid-August 2026; 52-week high 2,351.63 (13 Aug 2026) |

|                                |                                                               |
|--------------------------------|---------------------------------------------------------------|
| <b>Case path to trade date</b> | Modest pullback from August highs into the 27 November fixing |
| <b>52-week range (context)</b> | 1,947.04 (2 Sep 2025) — 2,351.63 (13 Aug 2026)                |

## EUR rates

Par EURIBOR swap rates (annual, 30/360 teaching convention) as of the trade-date close, calibrated to mid-August 2026 market levels ( 2.91% 1Y / 3.07% 5Y). Overnight: €STR 2.189%.

| Tenor            | Par swap | Discount factor | Zero (cont.) |
|------------------|----------|-----------------|--------------|
| €STR (overnight) | 2.189%   | 1.00000         | 2.19%        |
| 1Y               | 2.91%    | 0.97172         | 2.87%        |
| 2Y               | 3.00%    | 0.94257         | 2.96%        |
| 3Y               | 3.03%    | 0.91429         | 2.99%        |
| 4Y               | 3.05%    | 0.88668         | 3.01%        |
| 5Y               | 3.07%    | 0.85955         | 3.03%        |

Zeros are bootstrapped from the par swaps (annual fixed vs annual, teaching bootstrap — not an official ICE close). Linear interpolation of the continuously compounded zero is used between pillars.

## Discount factors on observation dates

Time is measured from **27 November 2026** on an ACT/365.25 basis. **DF (OIS)** is the locked discount factor for expected Index-linked payoffs. **DF (funded)** applies the +25 bp overlay.

| Observation       | Type                    | $T$ (y)       | $r$ (cc)     | DF (OIS)       | DF (funded)    |
|-------------------|-------------------------|---------------|--------------|----------------|----------------|
| 1 Mar 2027        | Coupon                  | 0.2574        | 2.36%        | 0.99393        | 0.99330        |
| 1 Jun 2027        | Coupon                  | 0.5092        | 2.54%        | 0.98717        | 0.98592        |
| 1 Sep 2027        | Coupon                  | 0.7611        | 2.71%        | 0.97961        | 0.97775        |
| 1 Dec 2027        | Coupon + autocall       | 1.0103        | 2.87%        | 0.97143        | 0.96898        |
| 1 Mar 2028        | Coupon                  | 1.2594        | 2.89%        | 0.96424        | 0.96121        |
| 1 Jun 2028        | Coupon                  | 1.5113        | 2.91%        | 0.95692        | 0.95331        |
| 1 Sep 2028        | Coupon                  | 1.7632        | 2.94%        | 0.94955        | 0.94537        |
| 1 Dec 2028        | Coupon + autocall       | 2.0123        | 2.96%        | 0.94222        | 0.93749        |
| 1 Mar 2029        | Coupon                  | 2.2587        | 2.97%        | 0.93523        | 0.92996        |
| 1 Jun 2029        | Coupon                  | 2.5106        | 2.97%        | 0.92809        | 0.92229        |
| 1 Sep 2029        | Coupon                  | 2.7625        | 2.98%        | 0.92098        | 0.91464        |
| 1 Dec 2029        | Coupon + autocall       | 3.0116        | 2.99%        | 0.91397        | 0.90711        |
| 1 Mar 2030        | Coupon                  | 3.2580        | 2.99%        | 0.90712        | 0.89976        |
| 1 Jun 2030        | Coupon                  | 3.5099        | 3.00%        | 0.90015        | 0.89229        |
| 1 Sep 2030        | Coupon                  | 3.7618        | 3.00%        | 0.89322        | 0.88486        |
| 1 Dec 2030        | Coupon + autocall       | 4.0110        | 3.01%        | 0.88638        | 0.87754        |
| 1 Mar 2031        | Coupon                  | 4.2574        | 3.01%        | 0.87965        | 0.87034        |
| 1 Jun 2031        | Coupon                  | 4.5092        | 3.02%        | 0.87281        | 0.86302        |
| 1 Sep 2031        | Coupon                  | 4.7611        | 3.02%        | 0.86599        | 0.85574        |
| <b>1 Dec 2031</b> | <b>Final / maturity</b> | <b>5.0103</b> | <b>3.03%</b> | <b>0.85929</b> | <b>0.84859</b> |

Table 3: Locked discount factors for every coupon, autocall, and final-valuation date in Exhibit A.

A constant 3.03% continuous rate (the 5Y zero) is acceptable for a **first pass**; the table above is the reference for a reproducible Monte Carlo.

## Volatility

No listed options exist on ISX5HCTD. The desk works in a **16–18%** flat Black vol band, consistent with:

- 17% one-year realised vol on European healthcare indices in 2026;
- VSTOXX (EURO STOXX 50, 30-day implied) in the mid-teens in August 2026.

| Expiry | ATM   | 80% strike | 60% strike |
|--------|-------|------------|------------|
| 3M     | 15.5% | 18.0%      | 22.0%      |
| 1Y     | 16.5% | 18.5%      | 21.5%      |
| 2Y     | 16.8% | 18.5%      | 21.0%      |
| 3Y     | 17.0% | 18.5%      | 20.5%      |
| 5Y     | 17.0% | 18.5%      | 20.5%      |

**Student task:** pick one flat ATM vol (5Y column as anchor), state your source, and run  $\pm 2$  vol-point sensitivities. The smile is **optional** extra credit; do not mix ATM and 60% vols in the same base-case path set. **Instructor reference:**  $\sigma = 17.00\% \rightarrow$  proposed 6% coupon terms are **too rich** for a 1.5% margin at 100% issue.



## Other desk assumptions

|                                      |                                                           |
|--------------------------------------|-----------------------------------------------------------|
| <b>Repo / borrow</b>                 | 0 bp (cash equity index; no stock-loan)                   |
| <b>Correlation</b>                   | Not required (single underlying)                          |
| <b>Issuer funding</b>                | +25 bp vs OIS (optional overlay; DF funded column)        |
| <b>Credit of hypothetical issuer</b> | Unsecured notes; no CSA. Hedge is assumed OIS-discounted  |
| <b>Business days</b>                 | As Exhibit A (Modified Following, Index Calculation Days) |

## What not to pull from a live feed

Do not replace  $S_0$ , the discount-factor table, or the decision date with a later market print. The assignment is internally consistent only at this snapshot.

Sources for calibration (not live inputs): STOXX ISX5HCTD factsheet; EURIBOR swap indications around 17 August 2026; VSTOXX and sector realised-vol context, August 2026.

## Exhibit E — Competitor Scan (Desk Note)

Italian retail · November 2026

### Exhibit E

**Desk compilation.** Summary of **public** retail terms observed in the Italian market. Issuer names are anonymised where required; underlying index and headline economics are taken from published retail sheets / KID extracts. Students **use** this exhibit for commercial comparison — they are not asked to reproduce the research from scratch.

Banque Meridian · Structured Products (Retail) · **BM-SP/2026/HC-COMP-01** · 30 November 2026

### Purpose

Banca Lombarda requested a side-by-side view of Meridian's proposed healthcare Phoenix (Exhibit A) against a competing Italian retail issue already in their Q4 pipeline. This note is for **distribution positioning** only; competitor fair value is **not** provided.

### Headline comparison

| Feature              | Meridian (proposed)                                       | Competitor A                                 |
|----------------------|-----------------------------------------------------------|----------------------------------------------|
| Product type         | Phoenix autocallable                                      | Athena autocallable (retail label)           |
| Issuer (public)      | European Investment Bank SA                               | Major Italian retail bank (programme issuer) |
| Underlying           | Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5%   | Same index (ISX5HCTD)                        |
| Issue / maturity     | 1 Dec 2026 / 1 Dec 2031 (5Y)                              | 15 Sep 2026 / 15 Sep 2030 (4Y)               |
| Issue price          | 100%                                                      | 100%                                         |
| Conditional coupon   | 6.00% p.a. (1.50% quarterly)                              | 6.25% p.a. (1.5625% quarterly)               |
| Coupon condition     | Index $\geq$ 60% of initial                               | Index $\geq$ 62% of initial                  |
| Autocall             | Annual if index $\geq$ 100% initial                       | Annual if index $\geq$ 100% initial          |
| Capital at maturity  | 100% if index $\geq$ 60%; else par $\times$ final/initial | Same soft 60% style barrier                  |
| Primary distribution | France (lead), Italy, Luxembourg                          | Italy (nationwide retail network)            |
| Adviser headline     | "6% healthcare income"                                    | "6.25% healthcare income · lower barrier"    |

Table 4: Public-term comparison as seen by Italian distributors (rounded for desk use).

### What distributors are saying

| Channel                    | Reported objection / ask                                                                                                                                                                     |
|----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Banca Lombarda (Italy)     | "Intesa-style flow already quoted at <b>6.25%</b> with a <b>62%</b> coupon trigger on the same index. Why should we push Meridian at <b>6.00%</b> unless you improve the coupon or barrier?" |
| Réseau Patrimoine (France) | Less focused on Italian competitor; wants printable healthcare theme for December events and a credible KID. Asks whether <b>6%</b> can be maintained in final terms.                        |

**Desk read (not for external distribution)**

1. **Italy is a headline fight.** Competitor A wins the simple comparison on coupon (6.25% vs 6.00%) and slightly easier coupon condition (62% vs 60% is client-friendly at the margin).
2. **France is a story fight.** Press dossier (Exhibits B1–B2) matters more than competitor terms.
3. **Matching competitor economics is not free.** Raising coupon or lowering barriers would likely **widen** the gap versus Meridian's 1.5% gross margin floor — internal pricing must lead, competitor scan second.
4. **Maturity differs (4Y vs 5Y).** Direct comparison is imperfect; advisers may still treat headline coupon as like-for-like.

**Sources (public)**

1. Major Italian retail bank — retail factsheet, **Healthcare Athena Autocall** programme, September 2026 issuance (abridged terms supplied to distributors).
2. STOXX Ltd. — ISX5HCTD index definition (underlying confirmation).
3. Internal distributor call notes — Banca Lombarda, 25–29 November 2026 (paraphrased).

*Meridian proposed terms: Exhibit A. Internal pricing inputs: Exhibit D.*